

THE FISH WHISPERER

Jim Kayalar wrote this case solely to provide material for class discussion. The author does not intend to illustrate either effective or ineffective handling of a managerial situation. The author may have disguised certain names and other identifying information to protect confidentiality.

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Brody Conner often thought of himself as the “fish whisperer.” He had recently read about “attention, interest, desire, action” (AIDA) in a magazine and realized that AIDA was what he was using to lure the fish in. Each species of fish had specific preferences for when they were likely to bite and these were dependent on ambient conditions. Thus, fishermen had to allow for the type of water, season, weather conditions, amount of light, temperature and time of day to adapt their fishing style and choose the appropriate rod that would help increase their chances of catching a fish. Conner’s success as a fisherman was based on the mantra “You got to think like a fish to catch a fish.” He was an up-and-coming entrepreneur who designed and sold top performing fishing rods such as the Catch-All Rod, an all-around rod that was adaptable in size and sensitivity to different fishing needs. Conner made the leap of faith and became an entrepreneur three years ago when he set up his own business, Catch-All-Rods (CAR). He was still trying to make it big, and, just like in the beginning, he needed additional resources to do so. Conner thought, “If I don’t find a new investor, this might be my last year.”

BACKGROUND

Conner, aged 48, was a car mechanic from Alaska who had started to work at his uncle’s garage after completing high school to learn the craft. He had never contemplated going to college as his parents and their parents before them had all left after completing either middle or high school. Conner had worked at his uncle’s garage for four years before moving to Florida in search of better opportunities and warmer weather. This was the start of Conner’s many relocations as he moved across the continental United States taking on challenges and opportunities and at times doing the odd mechanical job here and there. He eventually returned to Florida and established his own car repair business, which he closed after just two years. He moved to California where he opened another car repair business, which he shuttered after four years of operations. It wasn’t that business was bad, but Conner liked the night life: he was an avid Texas-Hold-Them poker player and was generally careless with his money. He usually didn’t differentiate between money that belonged to the business and what belonged to him. It was all his money after all!

After two unsuccessful attempts at marriage and numerous other temporary jobs, Conner returned to his native Alaska and once again started to work as a mechanic. His employers appreciated the high quality

of work that he put in, if and when he showed up at work. He put in the contractually required eight hours of work, albeit at his convenience — he usually started work around noon after he had slept off his hangover from the previous night. Conner spent most nights at high stakes poker tables where he usually won more than he lost.

When he was not playing poker, Conner was in his own backyard workshop where he repaired, crafted and built small tools and gadgets. This is where he designed and crafted his fishing rods. His uncle had been a passionate fisherman and had taken his nephew fishing in the vast and largely wild Alaskan lakes, rivers and pristine Pacific Ocean coastline. Conner had learnt how to craft different types of rods and how to fish from his uncle and maintained his fishing hobby despite all the ups and downs in his life and his incessant moving. Alaska had been prime fishing country, and Florida and California had not been bad either. He met quite a number of fishing enthusiasts both in the field and at bars and pubs where they often congregated after a long day of fishing, drank together and exchanged stories about the “one that got away.”

Fishing appealed to Conner both as an outdoor activity and for the sizeable sideline betting between fishermen as to who would catch the most fish. On most occasions, Conner was catching more fish than anybody else, and this allowed him to double his income as he made money from both the sale of surplus fish he caught and the subsequent bets he won. It wasn't just knowledge of where the fish were. Most fishermen knew that. Conner could fish in any location and condition and still catch more fish than anybody else. Local fishermen maintained that this had more to do with his individually crafted fishing rods and less with his skills.

Never one to miss an opportunity, Conner had started to sell some of his handcrafted rods to his friends, and true to the grapevine their catch rates improved. As Conner sold more and more rods, business picked up quickly, based solely on word of mouth. Conner began to make more money on weekends winning bets and selling rods than what he made weekdays as a mechanic. That was only in summer though. The Alaskan winter was too cold for even the most avid hobby fishermen. Connor came up with the idea to sell his rods in other states to generate an income in all seasons. The concept of Catch-All Rods (CAR) was thus born.

YEAR ONE

Conner was initially challenged by all the formalities and legal processes that went into forming a business. He had largely underestimated the costs and time required for searching out how to set up a company, find a company incorporator and learn what the legally required financial reporting requirements were. After spending more than three weeks looking for the right type of accounting software, he finally decided to hire an inexpensive accountant to do his books. These unforeseen expenses set him back financially.

Conner liked the idea of employing an accountant to take care of finances, but now that he was employing someone who expected a salary at the end of each month, he needed to start selling additional rods to pay for the new expense. Conner signed up for free six-hour web design training sessions offered at the local entrepreneurship development centre and launched the CAR website which he designed himself.

Unfortunately, CAR was not the immediate success Conner had expected. The website got no hits. Maybe local fisherman did not shop online for fishing supplies during the Alaskan winter? Active salesmanship had proven to be more successful. Conner would load his battered pickup truck with his rods and make trips to Alaskan towns within a day's driving distance, stay overnight at an inexpensive motel,

demonstrate his rods, leave a small quantity of samples in outdoors stores or sell on consignment. His physical reach, however, was still limited to Alaska. He needed to sell his rods at all seasons and would need to contact potential buyers outside of the state. Conner realized that he would need to do research at the public library, something that made him uneasy as he had not set foot in a library for more than 25 years.

With the help of a friendly librarian who sympathized with his entrepreneurial spirit despite all the apparent constraints and personal challenges he faced, Conner obtained information on U.S. wholesalers — names, addresses, phone numbers, gross sales, number of employees and major product lines — from the *Wholesalers and Distributors Directory* and drew up a list of 100 large wholesalers for fishing rods. Writing was not his strong suit, however, so he paid a college student \$150 to draft the introductory package. Unfortunately, wholesalers and retailers wanted to have samples, payment terms, promotional prices and rods on consignment. Conner was overextended as it was and did not have the financial resources to provide any of this. The next challenge was pricing the rods. Selling to friends had been easy with payment in cash. Selling to the trade was going to be harder. Conner thought, “How should I price my products? Should I use a price similar to those of other fishing equipment manufacturers, or go lower or higher? What about calculating the cost of making the rods?”

Before he could address these issues though, he needed to find financing. He approached his local bank several times to ask for a loan but was turned down because of his low individual credit rating and the fact that he had declared personal bankruptcy previously. He heard that small business loans were available to entrepreneurs. For the time being at least, he was bootstrapping his start-up venture with US\$5,250, which was all the money he could come up with, and keeping his daytime job as a mechanic to support the initiative. He realized that starting up in the middle of the Alaskan winter had not been a good idea, and cash flow was becoming a problem. The sales trips, free samples, consignment sales, cost of regulatory financial reporting and the monthly accountant’s fee were making for negative cash flow. He was grateful to the accountant for showing consideration for late payments. Conner was trying to adapt, investing everything into the business while hoping that summer would come early year so that he could supplement his mechanic’s income with whatever he could make in the short Alaskan fishing season.

THE MARKET

Conner used the free Internet service available in the public library to access the American Sport Fishing Association (ASA) website. According to ASA statistics, there were approximately 40 million fishermen in the United States, generating \$45 billion in sales and creating more than one million jobs as a result (if fishing were ranked as a corporation, it would be number 47 on the Fortune 500 list of the United State’s largest companies in 2007) with annual expenditure of US\$5.3 billion spent on fishing equipment and approximately US\$2.2 billion spent on fishing rods, reels and components.¹ Further research revealed that the National Sporting Goods Association ranked fishing seventh out of 45 recreational activities, preceded only by walking, swimming, exercising, cycling, camping and bowling.² Conner thought, “there were plenty of fish in the sea” he could catch.

Conner’s assessment of the market had shown that there were a few large scale manufacturers/importers that sold either through their own or third-party wholesalers/retailers, national mass merchandisers that sold store branded fishing equipment and many smaller businesses operating locally. Many of the smaller

¹ “Sports Fishing in America,” www.asafishing.org/images/statistics/resources

/Sportfishing%20in%20America%20Rev.%207%2008.pdf, accessed January 11, 2012.

² “2012 Participation,” www.nsga.org/files/public/2010Participation_Ranked_by_TotalParticipation_4Web.pdf, accessed January 15, 2012.

rod manufacturers were local competitors and manufactured rods best suited for their local conditions. The advent of the Internet had presented opportunities for some of these small businesses, which had e-commerce compatible websites for online ordering.

Advances in technology had begun to reflect on the industry as there were an increasing number of composite rods being sold. Each rod manufacturer claimed that its rod was the best rod in the world. Rods designed in Europe and Japan were present in the market. Chinese manufacturers were also competing in the low price standard segment. Despite all the manufacturers claiming that their rod was the best, a side-by-side study test had never been conducted.

EXCISE TAX PAYMENTS

Every three months, manufacturers/importers of fishing equipment were obligated to pay the federal government an excise tax payment of 10 per cent to 11 per cent on most products. These payments were decreed by law for the maintenance and enhancement of the U.S.'s fish population: an abundant fish population yielded ample fishing opportunities. The excise tax payments, protected by federal law, had to be used for sport fish restoration programs and could not be diverted for other expenditure.³ It was a win-win situation for all stakeholders. Conner, however, was not concerned about the distant future but about what kind of cash flow he could generate in the short term. He had instructed his accountant to minimize tax in any way he could.

FINDING CUSTOMERS

A retired business executive whom he had met while fishing had told Conner that in order to succeed he would need to "build paying customers." But before he could approach these big buyer's, Conner needed to have a expensive-looking business logo and business cards. He spent more than three weeks designing the logo and the business card. He needed to look the "part."

Conner needed to cast a bigger net to find those "paying customers." Doing research on the Internet brought some results, but a more focused approach was to research the Yellow Pages directory although it contained details only of businesses that advertised there. How could Conner approach businesses that did not advertise or need to advertise? A business mentor at the entrepreneurship development centre suggested that he use a sales lead/mailling list seller that sold such data based on industry SIC codes. The seller had on file approximately 3,700 firms that manufactured/imported fishing equipment, 11,500 fishing equipment wholesalers and 69,000 retailers.⁴ Conner was confounded by the numbers: he hadn't expected to find so many industry stakeholders. Having solved the problem of finding customers, how could he approach them and, better yet, sell to them? Conner's strength was his personal selling skills. He could not feasibly visit many of these potential wholesalers/retailers, and with the website not generating any sales or leads, he had taken on a second job as a sales assistant at a car dealership that stayed open for long hours.

With the arrival of summer and the beginning of the fishing season, Conner finally started to generate cash. His weekend sales trips started to pay off as sales from in-state wholesalers and retailers from product that he had left on consignment started generating revenue. But revenue was pretty much all that was being generated. He had given wholesalers special prices in the dead of winter to make his product

³"The Benefits to Business from Hunting and Fishing Excise Taxes,"

www.asafishing.org/statistics/documents/ROI_Excise_Tax_Summary_Report_3_3_11.pdf, accessed January 15, 2012.

⁴"Size of Business," http://leads.infousa.com/Business/SizeOfBusiness.aspx?bas_vendor=190000, accessed January 11, 2012.

attractive. Wholesalers had limited shelf space and cared little about how good a product was as long as it was profitable.

As business picked up, Conner realized that he was in a bind. He purchased the materials used in making rods in smaller quantities on a cash in advance basis and manufactured them in his backyard shed. Wholesalers, however, placed orders for several hundred rods of different types and wanted them on consignment or offered 60- to 90-day terms. Conner was glad that business was increasing so that he could pay off his debt to his accountant, but he wondered if he was actually making any profit. Sales to retailers were on a smaller scale but seemed more profitable. Managing accounts receivable was becoming a problem as most retailers delayed payment by one to two weeks on top of the 60-day term. He had tried to offer a 2 per cent discount on 10-day payment terms, but that had not garnered much interest. Conner often had to overdraw his account and use his credit card, incurring steep interest penalties while trying to keep abreast of things.

Conner had been largely unprepared for the challenges of a larger scale of business and the time and effort it took to administer it. The logistics of putting together an order — sourcing the raw materials, getting them delivered on time, crafting the rods, packaging them and shipping them to the buyer — were quite complex. Conner had to complete many received orders in multiple deliveries rather than satisfying one order in one delivery because he could not complete the order either due to lack of raw materials or lack of time to manufacture them. On several occasions, he shipped orders to the wrong buyers or under- or over-delivered the order and incurred the cost of returns.

Conner somehow survived the first fishing season, but it had been tough all the way. He had singlehandedly undertaken purchasing, inbound logistics, manufacturing, marketing and sales and outbound logistics, not to mention going after accounts receivable, which had taken up lots of time and effort. He had also kept his job at the garage mainly to support the venture, but the effort had exhausted him. Sales in Alaska had been good but not very profitable. The website had generated a small number of sales, but he had yet to make an out-of-state sale. He had gained some industry knowledge, made the necessary business contacts and acquired some respectability in the trade. His rods worked well, and, despite some initial mishaps delivering orders on time and in ordered quantities, he had managed to pull it off. “Not bad for a blue collar mechanic,” he thought. The following year, however, would be harder, and he could not continue the way he had. Much to his chagrin, he had to accept that he was of a certain age and had certain health issues. He had to find a way to adapt the venture. The free or low priced services provided by institutions supporting entrepreneurs had served him well, and he was glad for their support. Maybe he would look for a business partner or find capital from an investor or a bank.

YEAR TWO

Conner realized that he would not be able to keep up with demand next summer manufacturing solely on build to order. He would either have to start investing in materials starting in February and gradually build up stock or hire employees to manufacture the rod in peak season. The other alternative was, of course, to have the rods manufactured abroad. China seemed to be a good option, and Conner found original equipment manufacturers (OEM) advertised on a Chinese supplier portal.

Conner addressed the lack of capital by letting it be known that he was actively looking for an investor. A business mentor at the entrepreneurship development centre introduced him to Mike Haas, a fishing enthusiast and successful entrepreneur who had built up a local chain of laundromats. Conner initially asked for \$125,000 but lowered the amount to \$50,000 once he realized how much equity he would have to give away. Haas initially wanted 40 per cent of the company’s equity in return whereas Conner was

only willing to give up 15 per cent. The investor also demanded a business plan to conclude his due diligence process, and Conner once again resorted to the Internet to find an inexpensive business plan writer to assemble a professional looking business plan and PowerPoint presentation as an investors' information package. The business plan writer did a good job researching and quantifying the market, and Conner made some adjustments to the financial and market share projections of the company (see Exhibit 1). The investor, after much back and forth, finally agreed to a 25 per cent equity share in the company.

Conner had found the lifeline he was looking for, quit his job and preordered the necessary raw materials, taking advantage of lower prices and faster delivery for larger orders and price discounts for cash payments. He spent the long Alaskan winter manufacturing the necessary stocks for the upcoming season. He also changed the way he manufactured the rods, mass producing the common rod parts in a batch and thereby increasing efficiency.

Unfortunately, most of the rods required customization, which could only be done by hand and could not be manufactured at a large scale. Upon the insistence of his new business partner, Conner hired an employee to help him oversee the administrative side of the business. Attracted by a better offer, the administrative assistant left in May, right in time for the short Alaskan summer, which was high season when the demand for employees was higher than the limited supply. Foreign students were brought in on temporary visas to make up for the shortfall in the service and hospitality industry in summer.

Conner once again tackled the challenge of managing the business on his own. Haas helped out at times, and things worked out relatively well until they ran out of the stocks they had manufactured in winter. The process of fulfilling orders once again became a problem. Conner also became increasingly frustrated at his new partner's incessant demands for financial reports and profit payments. He was the owner of the company after all and did not see why he should spend time writing reports, time that he could be using more resourcefully on work and play. Nonetheless, CAR grew 20 per cent that year, and both Conner and Haas made a decent profit.

YEAR THREE

Banking on the positive business performance, Conner persuaded Haas to invest a further US\$25,000 to obtain a utility patent protection for the rods and guard the intellectual property in case somebody tried to copy the design. The patent application was made with most of the money going to patent lawyers who wrote up and drafted the application. The patent, which covered North America, belonged to Conner as the inventor. Conner knew that there were countless existing patents for rods and that it was practically impossible to manufacture something without infringing on a rod patent in one way or another, but having a patent looked good to potential investors and gave the company some prestige. Conner liked to present himself as a patented inventor.

The patent application, however, deepened the rift between Conner and Haas. Haas believed that the patent would belong to their joint company rather than to Conner alone. Conner initially offered to pay back the \$25,000 from company profit, that is, if and when the company made profit in the next season. Haas was infuriated by the proposal and threatened to take his money out of the business. Conner, in an effort to placate Haas, offered to "rent" the patent to their joint company in return for a fee plus royalties. This proposal backfired, and after numerous heated arguments they parted ways with Haas taking Conner to court over failure to disclose proper financial records and misrepresenting ownership of the patent. In the meantime, Conner established a limited liability company in Delaware and both sold his CAR majority shares and "rented" out the patent to this Delaware company for an annual fee and royalties.

Next Conner proceeded to preorder the necessary raw materials, taking advantage of lower prices for larger orders and price discounts, and manufactured the necessary stocks for the upcoming season, this time manufacturing 30 per cent more than in the previous year. Having learned how to administer company operations, he hired a new employee to help him with business administration. The new employee had a long criminal record, which made potential employers reluctant to hire him even in high season. Conner fired and then rehired the employee three times that season as he could not find anyone else who wanted to risk working for his fledgling seasonal business venture and on account of his volatile character. Conner was difficult to work with. At times he would procrastinate, and then he worked harder than seemed humanly possible and expected the same hours and effort from his employees. He would often work from noon to midnight. He wanted the final say on all decisions and had a bad temper, especially if he had been drinking the night before. Most of the time he tried to micromanage everything, but at other times he would either go away on a fishing expedition or attend dawn-to-dusk poker parties without informing anyone and let the employee run the business. Despite all the constraints and lack of endowments, Conner's rods worked well, and business was good that year, growing by another 15 per cent. Conner could now afford not to work for someone else and had purchased a new sport utility vehicle (SUV). He participated in a number of poker tournaments and spent three weeks in Florida deep sea fishing.

YEAR FOUR

Conner was getting more and more tired of the effort and drive it took to manage a business, oversee employees and ensure that everything was on time and on budget. Manufacturing rods on a small scale by hand was both slow and time consuming. Conner once again thought about having the rods made in China. He had done his research on the Internet, corresponded with potential Chinese manufacturers and received initial quotations based on technical drawings he sent them. He spent hours researching international trade terms of free on board (FOB) and cost insurance freight (CIF) pricing and found out that he would need to hire the services of a customs broker to clear the goods from customs.

The local bank had little knowledge of international trade and directed Conner to a larger branch that could help. The Chinese manufacturer either wanted the money upfront or by letter of credit. Conner initially did not want to send payment upfront and asked his bank to make out a letter of credit to the Chinese manufacturer. The bank refused to do so based on the fact that his newly formed company had little business acumen and that his personal credit precluded any type of personal loan to open a letter of credit. Conner needed to deposit cash at the bank in the amount of the order plus processing costs and a service fee.

While trying to learn the intricacies of foreign trade, Conner was still trying to leverage his website; he turned to guerilla marketing and opened accounts on social media sites. He also joined numerous professional associations and upgraded his website to include demo videos of his products, emulating what other competitors had as content on their websites. Despite the upgrade, the number of hits he got remained limited.

Participating at a local fishing fair had given Conner some exposure, and he made some new acquaintances. He also started to sell imported Chinese-made rods purchased from local distributors on his website. He was making a decent living but not really striking it rich. Maybe he needed a new investor to take to him to the next level? Maybe he could hire a manager to run the company and oversee the business every now and then or, even better, sell the company and live off royalty payments? Conner knew he needed to make a tough decision.

Exhibit 1**SUMMARY BUSINESS PLAN****1. Target Market and Customers****A. Number of Fishermen**

According to the American Sport Fishing Association, there were approximately 30 million Americans 16 years of age or over who fished annually. Most of these were freshwater fishermen; there were 25 million freshwater fishermen versus 8.5 million saltwater fishermen (total above 30 million due to some fishermen fishing both fresh and saltwater fish).⁵

B. Size of the Rod Market

The market for rods, reels and components in 2006 was worth \$2,239,190,427. It was assumed that rods made up 50 per cent of the market, which amounted to approximately \$1,119, 595,000.⁶

C. Most Sought-After Fish

- According to American Sport Fishing Association,⁷ the most sought-after freshwater fish were largemouth spotted bass, panfish, smallmouth bass, trout and catfish.
- It was believed that 99 per cent of freshwater and 25 per cent of saltwater game fish stock in the United States weighed less than 50 pounds.
- The CAR rod was ideally suited to catch all kinds of fish up to 60 pounds (27.3 kilograms) in all kinds of conditions. The CAR rod could thus be positioned to appeal to a largely unsegmented freshwater market and to 25 per cent of the saltwater market.

D. Total Market

- 99 per cent of the freshwater market translated into approximately 25 million fishermen.
- 25 per cent of the saltwater market translated into approximately 2.125 million fishermen.
- The total market was approximately 27.125 million fishermen.

2. Competitive Environment**A. Small Manufacturers/Retailers**

There were literally thousands of rod manufacturers located throughout the country. Most of these were smaller mom-and-pop type local businesses that operated on a seasonal basis. With the advent of the Internet, some of these businesses had established a website presence and commenced Internet sales.

B. Medium/Large Manufacturers/Wholesalers/Retailers

Catalogue sales and traditional large-scale wholesalers/retailers captured a majority of fishing gear sales. Smaller industry participants, despite increasing sales, were at a disadvantage in respect to larger suppliers. Foreign-made rods (China, Japan, Europe) were mostly distributed by large-scale wholesalers/retailers.

⁵"Sports Fishing in America,"

www.asafishing.org/images/statistics/resources/Sportfishing%20in%20America%20Rev.%207%2008.pdf, accessed January 11, 2012.

⁶*Ibid.*

⁷"Top 5 Fish Species Targeted by U.S. Anglers in August 2011,"

www.asafishing.org/statistics/angler_survey/species_0811.html, accessed January 15, 2012.

Exhibit 1 (continued)**C. Mass Merchandisers**

Wal-Mart and other mass merchandisers would only purchase from suppliers who could offer product width and depth. Mass merchandisers typically purchased directly from manufacturers at discounted wholesale prices and used their own distribution network. Mass merchandisers could at any given time discount items at 30 to 50 per cent and still make a profit. CAR initially dealt directly with medium-sized regional wholesalers and by-passed mass merchandisers.

3. Key Intellectual Property

CAR had applied for a utility patent for its products with the U.S. Patent and Trademark Office (a utility patent permitted the owner to exclude others from making, using or selling the invention for a period of up to 20 years from the date of patent application).⁸

4. The Product Proposition

The CAR rod was suitable for catching all types of fresh- and saltwater fish up to 60 pounds (27.3 kilograms) in weight. CAR initially focused on the larger freshwater market and gradually entered the saltwater market with new heavyweight rods. The CAR rod was designed to adapt to all types of fishing and could improve fishing performance by replacing the need for multiple rods; thus, it was a cost effective proposition.

5. Pricing Strategy

The retail price for a rod could range anywhere between US\$15 to US\$500 or more. Many rod manufacturers offered combo packs that included a mix of light, medium and heavy duty rods and tried to attract customers by offering up to 25 per cent price savings on the combo packs as compared to the purchase of individual rods. CAR's plan was to sell a single rod and then gradually offer combo packs. A rod cost US\$375 retail.

6. Go-to-Market Strategy and Execution Plan

CAR targeted only well-established wholesalers. It sold solely to wholesalers and avoided dealing directly with the large number of retailers that ordered in smaller quantities that were costly and time consuming to process. CAR planned to import and distribute foreign-made rods as well as sell other fishing accessories to diversify source of revenue and profit. CAR would attempt to displace other distributors with above-market wholesale profit margins and thereby effect a faster retail market penetration and brand recognition.

7. Sales Strategy

CAR would limit the number of direct sales calls and focus more on industry fairs to develop its business. CAR would target maximizing its inherent innovative capabilities as designers of fishing equipment that it could commercialize rather than managing a distribution network.

A. Channel Sales Price and Cost of Goods

- Retail sales price US\$375
- Retailer price: to be determined by wholesaler, suggested at US\$300
- Wholesaler price: US\$200
- Cost of rod to CAR: US\$100

⁸ "Types of Patents," www.uspto.gov/web/offices/ac/ido/oeip/taf/patdesc.htm, accessed January 17, 2012.

Exhibit 1 (continued)**B. Sales Forecast**

- CAR estimated that 550,000 rods could be sold over the next three years in the rod market, which constituted approximately 8.85 per cent of the market (US\$559,797,500 divided by US\$49,500,000 projected sales).
- CAR assumed that 25 per cent of all sales would be realized in the first year, 30 per cent in the second year and 45 per cent in the third year as brand recognition and product adaptation gained momentum.
- CAR expected to sell imported rods and miscellaneous accessories, which would constitute 5, 7 and 10 per cent of revenue in years one through three respectively. These projections were not included in the financial forecasts.

Based on profit margin research in the industry, CAR estimated that there was an overall 40 per cent profit margin in the channel backtracking from retailer to wholesaler. CAR would give an additional 10 per cent to make itself attractive to the channel, and with a 50 per cent profit margin the dollar size of the rod market CAR could appropriate could be estimated at approximately US\$559,797,500 (US\$1,119,595,000 x50 per cent).

8. Sales Forecast

SALES FORECAST(UNITS)		
YEAR ONE	YEAR TWO	YEAR THREE
137,500	165,000	247,500
SALES FORECAST(US\$)		
YEAR ONE	YEAR TWO	YEAR THREE
27,500,000	33,000,000	49,500,000
PROFIT FORECAST(US\$)		
YEAR ONE	YEAR TWO	YEAR THREE
13,750,000	16,500,000	24,750,000

Exhibit 1 (continued)

Table 1: Sales Forecast (Units)

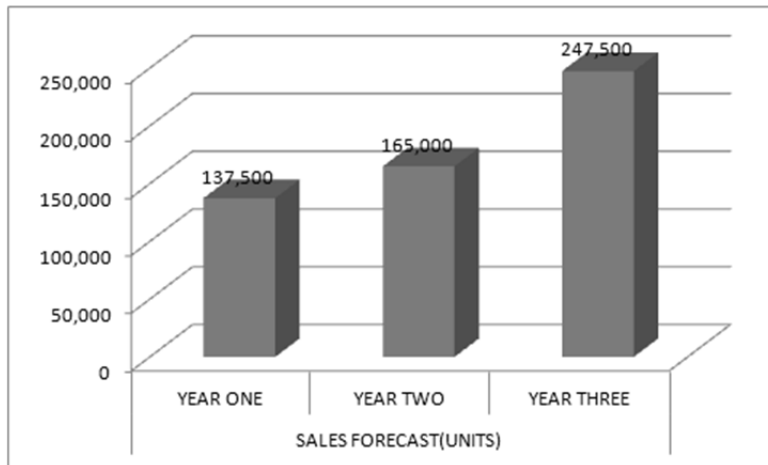


Table 2: Sales Forecast

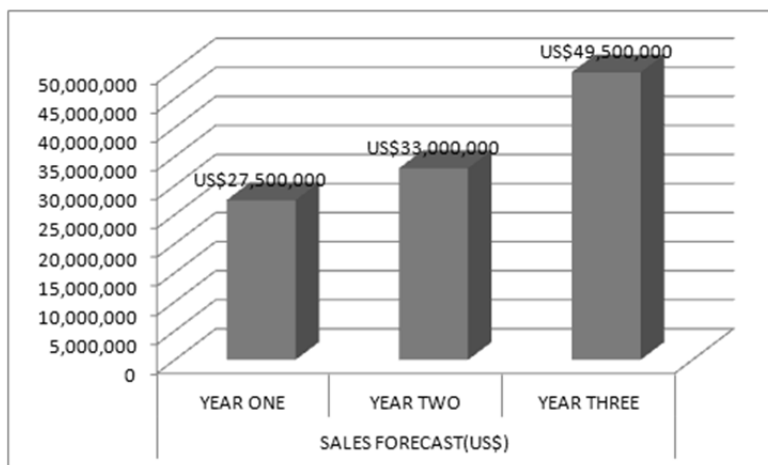
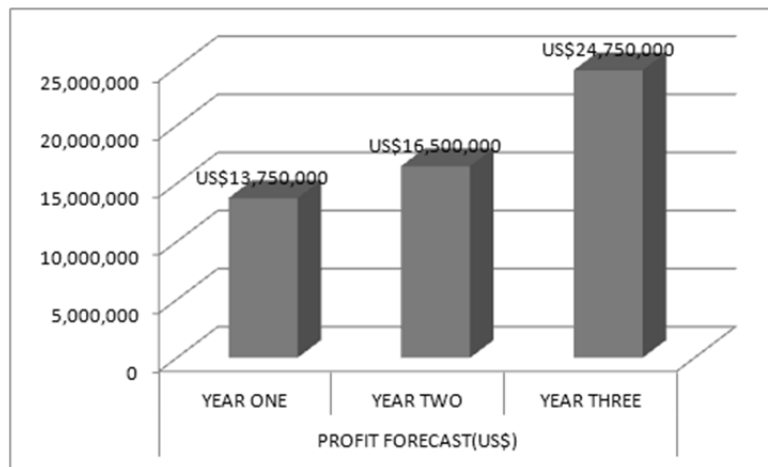


Exhibit 1 (continued)

Table 3: Profit Forecast



9. Funding Requirements

CAR was looking for \$125,000 to establish a well-functioning growth stage company to augment the organization with valuable human resources. This would ideally allow CAR to focus on designing new innovative rods and to maximize profits.

Source: Created by author.